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RESEARCH & INSIGHTS HUB

Expectations on Ethereum

Clarifying fundamental demand drivers for ether, and making sense of its narratives.

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The approval of spot bitcoin ETFs in the US has reinforced bitcoin's store-of-value narrative and its status as a macro asset. On the other hand, open questions about ETH's fundamental positioning within the crypto sector remain. Competing layer-1s (L1s) like Solana detract from Ethereum's positioning as the "go-to" network for decentralized app (dApp) deployment. The growth of Ethereum layer-2s (L2s) and reduction in ETH burn also seem to impact the asset's value accrual mechanisms at a high level.

Despite this, we continue to believe that Ethereum's long-term positioning remains strong and that it has important advantages that meaningfully distinguish it from other smart contract networks. These include the maturity of Solidity's developer ecosystem, the proliferation of its EVM platform, the utility of ETH as DeFi collateral, and the decentralization and security of its mainnet. Furthermore, we think that advancements in tokenization are likely to more positively affect ETH relative to other L1s in the near term.

We find that ETH's ability to capture both store-of-value and technology-token narratives is demonstrated by its historical trading patterns. ETH trades at high levels of correlation to BTC, exhibiting behavior in line with BTC's store-of-value patterns. At the same time, it also decouples from BTC during periods of prolonged BTC price appreciation like other altcoins, trading like a tech-orientated crypto. We think that ETH will continue to straddle these roles, and has room to outperform in 2H24 despite underperforming YTD.

For more details, see our [full report](#).

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70 Sir John Rogerson's Quay | Dublin 2 | D02 R296 | Ireland
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